

which closely followed the Make in India programme launched in 2014.

India is in a sweet spot. Economic growth is primarily driven by government spending on infrastructure. Once this happens, private investments follow—we are now at the start of a new private capex cycle. In 2023, we saw a few milestones in public spending—the government announced a capital expenditure allocation of ₹10 lakh crore in the Union Budget 2023-24, with the railway capex at an all-time high of ₹2.4 lakh crore. While overall capacity utilisation across sectors hit a multi-year high last year, private sector investment is picking up not only in new-age technologies such as semiconductors, fuel cells, batteries, data centres, and hydrogen but also in sectors such as petrochemicals, cement, and steel.

And there's more. The government is focussing on ensuring that economic growth is sustainable. Consequently, there are a slew of initiatives that have been taken to drive decarbonisation. Some notable ones are doubling generation and transmission capacities in the next couple of years, requiring additional capacities to be largely from renewable sources, and targeting an installed capacity of 500 GW of renewable energy.

The National Hydrogen Mission has been set up. Measures are being taken to drive demand-side management through energy efficiency measures in the distribution network. India is witnessing possibly the largest urban transformation in a generation. To prepare for this growth, cities will have to evolve at a fast pace. Smart and sustainable infrastructure would require creating green public transportation systems, cleaning up power and water supply, and improving communications tech-

nology connectivity for all citizens. To keep pace with the launch of newer models of electric vehicles, a regulatory environment is being created to encourage adoption.

The Indian Railways has been bringing electrification to wider swathes of its network—working towards transforming the world's fourth-largest rail network into the largest green rail network. The investments being made in cutting-edge technologies, modernisation of infrastructure, and rolling stock for metro rail, passenger, and freight transportation will have a significant multiplier effect. Metros are turning into a terrific growth story in India as more cities develop their own networks.

of industrial equipment, internet connectivity is expanding, and the platform economy is entering the business-to-business domain.

Till a few years ago, no one could have predicted the current pace of growth in digitalisation. The biggest beneficiaries of this would be the 60 million MSMEs, the backbone of the Indian economy. With the increasing adoption of digital business ecosystems, more MSMEs will upgrade, scale up, and adopt new technologies much faster to stay competitive.

All in all, in spite of global volatility, uncertainty, and risks on the geopolitical and macro-economic fronts, all indications

IN A GLOBAL ENVIRONMENT BESET WITH MACROECONOMIC AND GEOPOLITICAL VOLATILITY, INDIA REMAINS A SHINING STAR AND IS FIRMLY ON A SUSTAINED GROWTH PATH

| 147

So, we have three major initiatives that will drive the Indian economy in the next five to six years: increase in capex spending in infrastructure and increase in private capex spending in new-age technologies; increased capacities; and a strong drive towards decarbonisation. For all of these, digitalisation is a key enabler and indeed a key ingredient to drive productivity, quality, flexibility, and, above all, decarbonisation and sustainability in Indian industry. Digitalisation pervades every industry, and the global trend is mirrored in India—software is growing at twice the pace

point to India continuing its high growth momentum in the next few years. It will continue to be a preferred destination for investments, and the progress made towards achieving its goal of becoming a manufacturing hub will see more successes.

India is today on the cusp of what I believe will be a period of great growth, and the country wants to achieve this in a responsible and sustainable manner with a focus on clean energy. **BT**

The author is MD & CEO of Siemens India. Views are personal